

- RAG Learning

1.1 Meeting Customer Needs

Business — Edexcel (9BS0) — Theme 1: Marketing and people

This topic opens Theme 1 and is examined on Paper 1 and, synoptically, on Paper 3. It is about how a business finds out what customers want and then places itself in a market so that customers choose it over rivals. Almost every question in this area turns on one idea: a business only succeeds if it understands **its particular market** — its size, its growth, its competitors and its customers — better than its rivals do. Generic answers about “doing market research” score poorly; answers that use the figures and the firm in the extract score well.

Market — any place or mechanism where buyers and sellers come together to exchange goods and services.

Mass market — a large market selling standardised products to a wide range of customers, e.g. soft drinks, supermarket groceries.

Niche market — a small, clearly defined segment of a larger market with specific needs, e.g. vegan protein bars, left-handed golf clubs.

Market size — the total sales of all firms in a market, measured by value (£) or volume (units).

Market share — one firm's (or brand's) sales as a percentage of total market sales.

Brand — a name, symbol or design that identifies a product and distinguishes it from rivals.

Dynamic market — a market that is constantly changing in size, customer tastes, technology and competition.

Risk — a future outcome whose likelihood can be estimated or measured.

Uncertainty — a future outcome whose likelihood cannot be measured because it is unpredictable.

1.1.1 The market

a) Mass markets and niche markets

	Mass market	Niche market
Size	Large; high sales volume	Small; low sales volume
Product	Standardised, appealing to the average customer	Specialised, meeting a specific need
Price and margin	Low prices, low unit margins; profit comes from volume	Premium prices, high unit margins
Costs	Economies of scale reduce unit costs	Few scale economies; higher unit costs
Competition	Intense, often between a few large firms	Fewer direct rivals, at least initially
Promotion	National TV, digital and outdoor campaigns	Targeted: specialist media, social media, influencers
Examples	Coca-Cola, Tesco, Ford Puma	Morgan Motor Company, Grenade protein bars (at launch), Brompton folding bikes

Advantages of niche marketing: less competition, customer loyalty, ability to charge a premium, a route in for small firms without scale. **Disadvantages:** small potential sales, vulnerability to a change in the niche's tastes, and — if the niche proves profitable — the risk that a large firm enters and uses its scale to undercut the specialist. Many niches grow into mass markets (plant-based milk moved from health-food shops to every supermarket), which changes the strategy the original firm needs.

Market size and market share

Market share (%) = (Sales of one firm ÷ Total market sales) × 100

Market growth (%) = ((Market size this year – Market size last year) ÷ Market size last year) × 100

Worked example. The UK market for premium dog food was worth £800m in 2024 and £880m in 2025. PetPro's sales rose from £96m to £101.2m.

- Market growth = $(880 - 800) \div 800 \times 100 = 10\%$
- PetPro share 2024 = $96 \div 800 \times 100 = 12\%$
- PetPro share 2025 = $101.2 \div 880 \times 100 = 11.5\%$
- PetPro's sales grew by 5.4% $((101.2 - 96) \div 96 \times 100)$ — but the market grew faster, so its **share fell**.

Exam Tip: Rising sales do not mean rising market share. Whenever an extract gives both firm and market figures, calculate both growth rates and compare them — it is a quick application mark and frequently the key analytical point: the firm is growing but losing ground to competitors.

Why market size and share matter: a large or growing market offers more potential revenue and justifies investment; a high share gives bargaining power with suppliers and retailers, economies of scale and brand recognition, and signals market leadership to customers. Market share is also a key measure of performance relative to competitors, whereas sales figures alone can be flattered by a growing market.

Brands in mass and niche markets

In mass markets, brands help a firm stand out among many similar products and allow it to charge slightly more than own-label alternatives (Heinz versus supermarket own-brand beans). In niche markets, a brand signals specialism and authenticity and supports premium pricing. Brands are covered in depth in 1.3.2.

b) Dynamic markets

- **Online retailing** — internet sales now account for roughly a quarter of UK retail sales (ONS), up from under 10% in 2012, with a spike to over a third during the 2020–21 lockdowns. It lowers barriers to entry (a small business can sell nationally via Etsy, Amazon Marketplace or its own Shopify site), increases price transparency and reduces the need for expensive high-street premises. It has also contributed to the collapse of retailers slow to adapt, such as Wilko (administration 2023) and Debenhams (2021, brand bought by Boohoo).

- **How markets change** — through changes in consumer tastes (demand for low- and no-alcohol drinks), technology (streaming replacing DVDs), demographics (an ageing population), incomes, legislation (the ban on disposable vapes from June 2025) and competition.
- **Innovation and market growth** — new products can create or expand markets: smartphones created the app market; air fryers became one of the fastest-growing UK small-appliance categories after 2021 as energy prices rose.
- **Adapting to change** — businesses must monitor their market and respond: new products, new channels (click and collect), new pricing, or repositioning. Firms that fail to adapt lose share — Blockbuster's failure to move into streaming is the standard case; HMV survived by repositioning around vinyl and pop-culture merchandise.

c) How competition affects the market

- **Prices** — more competitors push prices down and reduce profit margins (Aldi and Lidl's growth forced price cuts and price-matching from Tesco and Sainsbury's).
- **Quality and choice** — firms improve products and service to win customers.
- **Innovation** — competition forces continual new product development.
- **Costs** — firms are pressured to cut costs and become more efficient to protect margins.
- **Marketing spend** — more promotion is needed to maintain share.

From the customer's point of view competition is usually beneficial; from the business's point of view it lowers profitability unless the firm can differentiate itself.

d) The difference between risk and uncertainty

Risk	Uncertainty
Can be measured or estimated using data — e.g. the proportion of new products that fail, the probability of a supplier delivering late	Cannot be measured because the event is unpredictable — e.g. a pandemic, a war, a sudden change in government policy
Can be managed: market research, test marketing, insurance, contingency plans	Can only be prepared for in general terms: flexibility, cash reserves, diversification

Example: a café can estimate how many sales it loses on rainy days

Example: the 2022 energy price shock after Russia's invasion of Ukraine

Exam Tip: Do not use “risk” and “uncertainty” interchangeably. The distinction is whether the probability can be quantified. Market research reduces *risk*; it cannot remove *uncertainty*.

1.1.2 Market research

a) Product and market orientation

	Product orientation	Market orientation
Starting point	What the business can make well; technical excellence	What customers want, found through market research
Strengths	Genuine innovation (customers cannot ask for what they cannot imagine); strong quality reputation	Lower risk of failure; products match needs; quick response to change
Weaknesses	Risk of making something nobody wants; slower to respond to changing tastes	Research is costly; may produce incremental rather than breakthrough products
Examples	Dyson (engineering-led), pharmaceutical research	Tesco (Clubcard data), fast fashion (Zara, Shein)

In practice most firms blend the two: Apple is often called product-oriented, yet it researches heavily and designs around user experience. An **asset-led** approach is a middle position, building on existing strengths (brand, skills) while meeting market needs.

b) Primary and secondary research

	Primary (field) research	Secondary (desk) research
Definition	New data collected first-hand for a specific purpose	Data that already exists, collected for another purpose
Methods / sources	Questionnaires, interviews, focus groups, observation, test marketing, trials	ONS data, Mintel/Kantar reports, trade press, competitors' accounts, internal sales records, government publications
Advantages	Specific and up to date; confidential to the firm	Cheap or free; quick; often large samples
Disadvantages	Expensive and time-consuming; risk of bias	May be out of date or not specific; available to rivals

Quantitative data is numerical and statistically analysable (e.g. 62% of respondents would pay £3 or more). **Qualitative data** concerns opinions, feelings and motives (e.g. why customers prefer a brand), usually from focus groups or in-depth interviews. Quantitative data tells a firm *what* and *how many*; qualitative tells it *why*.

The specification says research is used to:

- **Identify and anticipate customer needs and wants** — spotting gaps and trends before rivals do.
- **Quantify likely demand** — estimating sales volume to plan production, staffing and finance, and to support a business plan.
- **Gain insight into consumer behaviour** — understanding how, when, where and why people buy, to shape the marketing mix.

c) Limitations of market research: sample size and bias

- **Sample size** — the larger the sample, the more representative and reliable the results (greater confidence), but the greater the cost. A survey of 30 friends tells a start-up little about a national market.
- **Sampling bias** — the sample does not represent the target market (surveying only people in one town centre on a weekday morning).

- **Questionnaire bias** — leading or ambiguous questions.
- **Respondent bias** — people say what they think the researcher wants to hear or overstate their intention to buy.
- **Interviewer bias** — the interviewer's manner influences answers.
- **Other limitations** — cost and time, data quickly going out of date in dynamic markets, and difficulty researching genuinely new products.

d) Use of ICT to support market research

- **Websites** — analytics tools track visitors, pages viewed, time on site, basket abandonment and conversion rates; A/B testing compares two versions of a page. Cheap, real-time and based on actual behaviour rather than stated intentions.
- **Social networking** — “social listening” monitors what customers say about a brand on TikTok, Instagram and X; polls and comments provide free, fast qualitative feedback. But users are not representative of all customers, and loud voices can distort the picture.
- **Databases** — loyalty schemes (Tesco Clubcard, Nectar, Boots Advantage) record every purchase, allowing targeted offers and analysis of buying patterns. Must comply with UK GDPR and the Data Protection Act 2018; customers increasingly worry about how data is used.

e) Market segmentation

Market segmentation — dividing a market into identifiable groups of customers with similar characteristics or needs, so that the marketing mix can be targeted at them.

Method	Basis	Example
Demographic	Age, gender, ethnicity, family life-cycle stage	Saga targets the over-50s
Geographic	Region, country, urban/rural	Regional product ranges; different menus by country
Income / socio-economic	Income, occupation, social class (A, B, C1, C2, D, E)	Waitrose (ABC1) versus Aldi's broad appeal

Psychographic / lifestyle	Values, interests, attitudes	Gym chains targeting fitness enthusiasts
Behavioural	Usage rate, loyalty, benefits sought	Frequent-flyer tiers

Benefits: better-targeted marketing and less waste; products that fit needs more closely; identification of under-served segments. **Drawbacks:** research cost, more complex product ranges, and segments that are too small to be profitable.

1.1.3 Market positioning

a) Market mapping

A **market map** (perceptual map) plots brands on two axes representing features customers consider important — for example price (low–high) and quality (basic–luxury), or traditional–modern. It is used to:

- identify **gaps** in the market;
- identify **direct competitors** (brands clustered close together);
- decide how to **position or reposition** a product.

Limitations: only two variables are shown, whereas customers weigh many; positions are often based on the manager's perception rather than customer research; and a gap may exist because there is **no demand** there (low price, high quality may simply be impossible to supply profitably).

Exam Tip: A gap on a market map is an opportunity only if research shows there is enough demand there to be profitable. Saying “there is a gap so the firm should enter it” is an unsupported assertion; asking whether the gap is profitable is evaluation.

b) Competitive advantage of a product or service

Competitive advantage — a feature that allows a business to outperform its rivals by offering customers better value, either through lower prices or through a product or service they value more highly.

Sources include lower costs (Ryanair), superior quality, strong brand, innovation, patents, customer service (John Lewis historically), location and convenience. A competitive advantage matters only if it is **sustainable** — hard for rivals to copy.

c) The purpose of product differentiation

Product differentiation is the extent to which customers see a product as different from its rivals. Its purpose is to:

- make the product stand out and give customers a reason to choose it;
- reduce price elasticity of demand, so the firm can charge higher prices without losing many customers;
- build customer loyalty and repeat purchase;
- reduce direct competition on price.

Differentiation can be real (a genuinely different design or feature) or perceived (brand image). Examples: Innocent (brand personality), Tony's Chocolonely (ethical sourcing mission), Gymshark (community built through social media).

d) Adding value to products/services

Value added = Selling price – Cost of bought-in materials and components

Worked example: a coffee shop sells a latte for £3.80; the coffee, milk and cup cost £0.65. Value added = £3.15 per cup. Note that value added is **not profit**: wages, rent and other overheads must still be paid out of it.

Ways to add value: branding, design, quality, convenience (delivery, 24-hour opening), customer service, USPs, packaging, and the experience surrounding the product (Apple stores).

Common mistakes

- Confusing market *size* with market *share*, or treating sales growth as share growth.
- Stating that niche markets are “always profitable” — small volumes may not cover fixed costs.
- Treating secondary data as unreliable by definition; ONS data is often more reliable than a small primary survey.
- Describing all research methods rather than judging which is appropriate for the business in the extract (a small start-up versus a multinational).
- Confusing value added with profit.

Exam Tip: How Edexcel rewards this topic: **Knowledge** is a precise definition (e.g. market orientation); **Application** is using the business, product and numbers in the extract; **Analysis** is a developed chain of cause and effect (research → better understanding of segment → targeted mix → higher conversion → higher revenue); **Evaluation** weighs the argument (cost of research against the value of the information, “it depends on” the market's dynamism, the firm's budget, the quality of the sample) and reaches a supported judgement.

Quick recall

- Market share = $\text{firm sales} \div \text{market sales} \times 100$; compare firm growth against market growth
- Mass = volume, scale, low margin; niche = specialist, premium, vulnerable to larger entrants
- Dynamic markets: online retailing, changing tastes, innovation, need to adapt
- Risk can be measured; uncertainty cannot
- Product orientation starts with the product; market orientation starts with the customer
- Primary = new, specific, costly; secondary = existing, cheap, may be dated; quantitative = what/how many; qualitative = why
- Limitations: sample size, sampling/questionnaire/respondent bias, cost, time
- ICT: websites (analytics), social media (listening), databases (loyalty cards, GDPR)
- Market map: gaps, competitors, positioning — but a gap may have no demand
- Differentiation reduces price elasticity; value added = price – bought-in costs, not profit

